



Quarterly Investment Report

Q3 2025 - Thames Water UPS (Closed Section)

Portfolio Summary

Asset Class	Allocation	Performance (Q)	12m Performance
LDI	51.5%	-2.10%	+5.27%
Credit	20.6%	-0.91%	+4.06%
Equities	11.4%	+2.17%	-4.31%
Property	7.9%	-1.54%	+2.92%
Cash	7.1%	+0.87%	+4.40%

Market Commentary

During Q3 2025, gilt yields moved by approximately -16bp across the curve. The scheme's LDI programme continued to deliver its hedging objective with a tracking error within the agreed tolerance band.

The Investment Manager has maintained a neutral positioning against the benchmark, with a modest overweight to investment-grade credit reflecting attractive spread levels.

Compliance with SIP

All allocations remained within the tolerance bands specified in the Statement of Investment Principles throughout the quarter.